

COMMITTEE ON REGULATORY AFFAIRS AND GOVERNMENT EFFICIENCY
SENATE AMENDMENTS TO S.B. 1477
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 36-446.14, Arizona Revised Statutes, is amended
3 to read:

4 36-446.14. Referral agencies; assisted living facilities and
5 assisted living homes; disclosures;
6 acknowledgement; fee; notice; insurance
7 requirements; civil penalty; definitions

8 A. A referral agency shall disclose, in the form prescribed by
9 subsection D of this section, to any prospective resident or
10 representative of a prospective resident at the time or before any
11 referral is made for care at an assisted living facility or assisted
12 living home all of the following:

13 1. The existence of any current business relationship or any common
14 ownership or control and any other financial, business, management or
15 familial relationship that exists between the referral agency and the
16 assisted living facility or assisted living home.

17 2. That the assisted living facility or assisted living home pays a
18 fee to the referral agency in connection with the referral.

19 3. The amount of the fee, if determined, or a good faith estimate
20 of the fee, if not determined, that the assisted living facility or
21 assisted living home will pay to the referral agency. The referral agency
22 may describe the fee as a dollar amount or as a percentage of the
23 prospective resident's first month's rent and care charges at the ASSISTED
24 LIVING facility or ASSISTED LIVING home.

25 B. After the first instance of the referral agency providing the
26 disclosure required by subsection A of this section, the referral agency
27 shall request from the prospective resident or representative of a
28 prospective resident an acknowledgement of receiving the disclosure in the
29 same manner and form in which the disclosure was delivered.

1 C. The prospective resident may terminate all services of the
2 referral agency for the prospective resident at any time, including the
3 use of the prospective resident's personal information, by providing a
4 written or electronic termination notice to the referral agency. If the
5 prospective resident delivers a termination notice, the referral agency is
6 not entitled to any fee for the resident's move-in after the date of the
7 termination notice unless either of the following applies:

8 1. The assisted living facility or assisted living home chosen by
9 the resident within twelve months after the date of termination was
10 specifically identified and referred to the resident after evaluating the
11 prospective resident's profile and requests before the resident delivered
12 the notice of termination.

13 2. The referral agency provides documentation to the assisted
14 living facility or assisted living home that the resident communicated
15 with the referral agency for referral services before the resident's
16 admission to the assisted living facility or assisted living home.

17 D. The referral agency's written, electronic or oral disclosure
18 shall be in the following format and, if written, shall be in
19 fourteen-point font type:

20 Arizona law requires that we provide you with the
21 following disclosure notice.

22 We are in the business of referring residents to
23 assisted living facilities and assisted living homes. We will
24 be paid by the ASSISTED LIVING facility or ASSISTED LIVING
25 home if you move into one of the referred ASSISTED LIVING
26 facilities or ASSISTED LIVING homes. The fee we receive from
27 the ASSISTED LIVING facility or ASSISTED LIVING home into
28 which you move typically ranges from (____) to (____) percent
29 of your first month's rent and care charges or from (\$____) to
30 (\$____). We (do/do not) have a current business relationship
31 (but/and) we (do/do not) have a common ownership or control
32 in, or any other financial, business, management or familial
33 relationship with, (any) (one or more) of the ASSISTED LIVING
34 homes and ASSISTED LIVING facilities to which we are referring
35 you.

36 By providing us with a written or electronic notice, you
37 have the right to terminate our services to you at any time,
38 including our use of your personal information. If you
39 terminate our services, we will not be entitled to any fee for
40 any move-in you make after the date of the termination notice
41 unless either:

42 1. The ASSISTED LIVING facility or ASSISTED LIVING home
43 you choose within the next twelve months is one that we
44 specifically identify and refer to you after we evaluate your
45 profile and requests but before we receive your notice of
46 termination.

1 2. You communicate with us before you move into the
2 ASSISTED LIVING facility or ASSISTED LIVING home.

3 E. Within fourteen days after a resident is admitted to an assisted
4 living facility or assisted living home, the ASSISTED LIVING facility or
5 ASSISTED LIVING home shall notify the referral agency of the resident's
6 admission if the ASSISTED LIVING facility or ASSISTED LIVING home is
7 contracted with the referral agency. Not later than fourteen days after
8 receiving notice of the resident's admission, the referral agency shall
9 provide the assisted living facility or assisted living home with a
10 written or electronic copy or recording of the disclosure made to the
11 resident and the resident's acknowledgement of receiving the disclosure as
12 prescribed in subsections B and D of this section, along with the date and
13 time of the disclosure to the resident. THE REFERRAL AGENCY SHALL PROVIDE
14 DOCUMENTATION TO THE ASSISTED LIVING FACILITY OR ASSISTED LIVING HOME THAT
15 THE REFERRAL AGENCY IS NOT ON THE ADULT PROTECTIVE SERVICES REGISTRY [OR,
16 IN THE ALTERNATIVE, SHALL ANNUALLY VERIFY THROUGH CONTRACT OR POLICY AND
17 PROCEDURES THAT THE REFERRAL AGENCY USES A NATIONALLY ACCREDITED SERVICE
18 PROVIDER TO OBTAIN CRIMINAL HISTORY RECORD INFORMATION FOR NEW EMPLOYEES
19 OF THE REFERRAL AGENCY WHO HAVE DIRECT CONTACT WITH CONSUMERS OR WHO
20 PHYSICALLY ENTER ASSISTED LIVING FACILITIES OR ASSISTED LIVING HOMES FOR
21 THE PURPOSE OF MAKING REFERRALS]. The assisted living facility or
22 assisted living home shall maintain a copy of the disclosure for as long
23 as the resident is at the facility or home. The referral agency shall
24 maintain a copy of the disclosure and acknowledgement for one year. The
25 assisted living facility or assisted living home shall not pay any
26 referral fee associated with a resident until the ASSISTED LIVING facility
27 or ASSISTED LIVING home receives the written or electronic copy or
28 recording of the disclosure made to the resident and the resident's
29 acknowledgement of receiving the disclosure provided and maintained in the
30 same manner and form.

31 F. A REFERRAL AGENCY SHALL PROCURE THE FOLLOWING INSURANCE FROM AN
32 INSURER AUTHORIZED TO DO BUSINESS IN THIS STATE:

33 1. COMMERCIAL GENERAL LIABILITY INSURANCE IN AN AMOUNT OF AT LEAST
34 \$1,000,000 PER OCCURRENCE AND \$3,000,000 IN THE AGGREGATE.

35 2. PROFESSIONAL LIABILITY INSURANCE IN AN AMOUNT OF AT LEAST
36 \$1,000,000 PER OCCURRENCE AND \$3,000,000 IN THE AGGREGATE.

37 ~~F.~~ G. A referral agency that violates this section is subject to a
38 civil penalty of up to \$1,000 for each violation. The attorney general or
39 a county attorney may institute a proceeding in superior court to recover
40 the civil penalty under this subsection and to restrain and enjoin a
41 violation of this section. Any civil penalty recovered pursuant to this
42 subsection shall be deposited in the general fund of the jurisdiction that
43 prosecuted the violation.

1 ~~H.~~ H. For the purposes of this section:

2 1. "Electronically" includes an audio recording that conforms with
3 the Arizona rules of evidence, that is maintained by the referral agency
4 and that is transmitted to the assisted living facility or assisted living
5 home and the resident or the resident's representative in a format that
6 can be downloaded.

7 2. "Referral agency":

8 (a) Means a person or entity that provides referrals for a fee that
9 is collected from either the resident or the assisted living facility or
10 assisted living home.

11 (b) Does not include either:

12 (i) An assisted living facility or assisted living home, or its
13 employees.

14 (ii) A resident, a resident's family member or a patron of an
15 assisted living facility or assisted living home who refers a prospective
16 resident to an assisted living facility or assisted living home and
17 receives a discount or other remuneration from the assisted living
18 facility or assisted living home.

19 Enroll and engross to conform

20 Amend title to conform

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